PART III + TALKING ABOUT MONEY

Conversations

Chores and allocation are the foundation. Conversations build on that foundation and show kids how money works in real life. That is where the "aha" moments happen.

I. Why Conversations Matter

- **Kids learn money habits from what we say and do.** But do they know what we're doing, and why?
- **Everyday moments are teaching moments:** the gas pump, the ATM, the grocery store.
- **Our attitudes leave lasting impressions.** They shape what experts call a **money script.**

> **WHAT IS A MONEY SCRIPT?**
> An unconscious belief about money, formed in childhood through family experiences, culture, and what kids observe. These beliefs shape how we spend, save, and invest as adults. By being intentional, we can help write healthy money scripts for our kids.

II. Everyday Opportunities

- **Bring kids with you.** The bank, grocery store, ATM, post office, even car shopping. Explain what's happening as it happens.
- **Play board games.** Life and Monopoly teach math, money management, and decision-making in a fun way.
- **Talk about big purchases.** Home projects, car shopping, and paying bills are chances to explain costs, budgets, and trade-offs.
- **Plan for college together.** Compare schools, costs, scholarships, and loans side by side.

III. Key Lessons to Teach

- **Wants vs. needs.** Help kids tell essentials from extras. Set a limit on what you'll contribute, and let them pay for the upgrades.
- **The power of no.** Saying no to extras doesn't reduce happiness. It builds discipline and freedom.
- **Saving early.** Keep compounding simple. The **Rule of 72:** divide 72 by the interest rate to see how many years it takes money to double. At 8%, that is about 9 years.

> **THE BIG PICTURE**
> Conversations don't have to be formal lessons. Engage as life happens: during errands, family decisions, even games. Small, consistent conversations shape lifelong money habits, and help our kids grow in wisdom, confidence, and healthy money scripts.

REFLECT

What money habits, good or bad, did you learn from your parents?

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Looking back, how did your parents' financial decisions affect you?

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